

“does not *excuse* a section 226.7 violation.” (*Id.* at 84.)

Thus, even though Plaintiff may be settling his individual Labor Code claims, that does not mean that he cannot be – and is not still – the state’s representative for the PAGA claim.

Summary

It appears that Defendant was attempting to have this entire action dismissed via its Settlement Agreement with Mr. Rubio. Per the terms of Settlement Agreement, however, that would not and could not occur based solely on Mr. Rubio filing a Request for Dismissal of Complaint.

“Under section 664.6, the [parties are] entitled to judgment ‘pursuant to the terms of the settlement’ [cite], **and nothing more.**” (*Machado*, supra, 39 Cal.App.5th at 792 emphasis added.) The Court cannot “add to or modify an express term of the settlement” under section 664.6. (*Leeman v. Adams Extract & Spice, LLC* (2015) 236 Cal.App.4th 1367, 1375.)

Based on the above, it does not appear that there was ever a ‘meeting of the minds’ and no actual contract was formed via execution of the Settlement Agreement. As such, it cannot be entered as a judgment.

If the Court is reading too much into the Settlement Agreement – and Defendant is actually seeking to have the Settlement Agreement entered as a Judgment as written (with the redactions discussed above regarding the amounts at issue removed), the Court will grant such a request. The Court does not believe that is what Defendant wants, however.

Monetary Sanctions

Defendant also requests sanctions Civil Code section 1717, Code of Civil Procedure sections 128.5 and 2023.030, as well as California Rules of Court 2.30 – based in part of Plaintiff’s failure to dismiss the Complaint in accordance with the Agreement. None of the authorities cited by Defendant authorizes a court to award sanctions in connection with a motion to enforce a settlement agreement pursuant to section 664.6

Initially, as noted above, the Court’s ruling on a motion to enforce under section 664.6 is limited to entering a judgment pursuant to the terms of the settlement agreement. There is no indication that sanctions are permissible under that section.

In addition, each of the above rules of statutes provide for their own procedures for seeking sanctions. To award attorney fees under Civil Code section 1717, the Court must first determine which party (if any) is the “prevailing party.” As discussed above, that issue is not before the Court at this time. Section 128.5 contains a mandatory 21-day safe harbor provision. (*Transcon Financial, Inc. v. Reid & Hellyer, APC* (2022) 81 Cal.App.5th 547, 550.) There is no indication this has been complied with. Section 2023.030 pertains to abuse of the discovery process, which is not properly before the Court on this motion. Likewise, there is no indication that Rule 2.30 applies in this situation.

Conclusion

Based on the above, Defendant’s motion is **denied**. If Defendant would like to proceed with the motion to enter judgment in accordance with the terms of the Settlement Agreement, it should contest this tentative ruling and provide the Court and opposing counsel with a copy of the unredacted Settlement Agreement so the Court can enter judgment based on the complete Settlement Agreement.

15. 9:00 AM CASE NUMBER: C24-02009

CASE NAME: DANIEL RUBIO VS. RH OAK, INC.

*HEARING ON MOTION IN RE: LEAVE TO FILE SECOND AMENDED CLASS ACTION COMPLAINT

FILED BY: RUBIO, DANIEL

TENTATIVE RULING:

Before the Court is Plaintiff's Motion for Leave to File Second Amended Class Action Complaint. The Court notes that this hearing is being held at the same time as the hearing on Defendant's motion to enforce the settlement agreement. As the two matters have related issues, the ruling relating to the motion to enforce is incorporated, and issues raised there may be discussed, herein – see line 14.

Counsel are ordered to appear. The Motion is **denied without prejudice** as discussed below.

Factual and Procedural Background

Plaintiff's counsel filed the original Class Action Complaint ("Complaint") on July 30, 2024, alleging nine employment related causes of action. The Complaint named Daniel Rubio as the named plaintiff and class representative. The operative First Amended Complaint was filed on December 9, 2024, which added a PAGA claim.

In March 2025, Plaintiff Daniel Rubio executed a Mutual Release and Settlement Agreement ("Settlement Agreement") with Defendant RH Oak, Inc. The Settlement Agreement calls for a payment to Plaintiff (discussed below) in return for Plaintiff filing a Request for Dismissal of the Complaint within 2 business days of the full execution of the Settlement Agreement – *i.e.* by March 15, 2026. Mr. Rubio has not filed a Request for Dismissal. Accordingly, Defendant filed a motion to enforce the settlement agreement – which the Court addresses at line 14 herein.

Notably, Plaintiff's counsel did not file an opposition to the motion to enforce the settlement agreement. Instead, on January 14, 2026, the filed the instant motion for leave to file a second amended complaint. Plaintiff's counsel contends this motion is "necessary because Mr. Rubio has resolved his individual claims and can no longer adequately serve as a class representative." (Notice at ii:10-11.)

Discussion

The Court is very concerned with the handling of this matter.

As discussed in the concurrent tentative ruling on Defendant's unopposed motion to enforce the settlement agreement (see Line 14), the named Plaintiff – Mr. Rubio – has apparently settled his individual claims with Defendant. Based on this settlement, Defendant moved to have the settlement agreement turned into a judgment and have the matter dismissed. As explained in the ruling on that motion, the fact that Mr. Rubio has settled his individual claims does not mean that the class action complaint and the PAGA cause of action should be dismissed. It does not even mean that Mr. Rubio cannot continue as the named plaintiff in this action.

It must be noted that Plaintiff's counsel did not file any opposition to the motion to enforce. Not even to argue that the case should not be dismissed even if Mr. Rubio's individual claims are settled. "Case law imposes ***fiduciary duties on*** the trial courts, ***class counsel***, and class representatives, who must

ensure the action proceeds in the class members' best interest." (*Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260, 566.) Failing to protect class members by not opposing a motion seeking to dismiss the complaint – especially where there is direct case law indicating that such a result based on the motion to enforce the settlement is improper (see Line 14) – is not living up to those duties.

Instead, Plaintiff's counsel filed the instant motion for leave to amend to remove Mr. Rubio as the named plaintiff and replace him with Arturo Cedillo Jr. – a person that apparently never worked for Defendant and does not actually want to participate in this litigation. Instead, it is alleged in the proposed amended complaint that Mr. Cedillo Jr. was employed by RH Las Inc. – and separate corporate entity "operating under the same DBA" as RH Oak Inc.

Defendant confirms that Mr. Rubio worked for RH Oak but never worked for RH Las. (Smith Decl. ¶ 4; Navarro Decl. ¶ 3.) They also confirm that Mr. Cedillo worked for RH Las but never worked for RH Oak. (Smith Decl. ¶ 11; Navarro Decl. ¶ 3.) Defendant also submits the declaration of Aldo Navarro, the CEO of RH Las, who indicates that he had a conversation with Mr. Cedillo in January 2026 – the same month the instant motion to leave to amend was filed. (Navarro Decl. ¶ 4.) Mr. Cedillo was calling to inquire about being re-hired by RH Las. (*Ibid.*) During that conversation, Mr. Navarro asked Mr. Cedillo about his being named the lead plaintiff in this lawsuit. (*Ibid.*) Mr. Navarro declares that Mr. Cedillo told him that he did not want to pursue a lawsuit against RH Las and had not authorized his name to be involved in a lawsuit. (*Ibid.*) He also attaches a text message purportedly from Mr. Cedillo confirming as such. (*Id.* Ex. A.)

In Reply, Plaintiff's counsel objects to the admissibility of Mr. Navarro's declaration and the exhibit attached thereto. They do not dispute that Mr. Cedillo has expressed his desire not to be included in this lawsuit. They do not provide a counter declaration or any evidence from Mr. Cedillo indicating otherwise. The statements outlined above can be considered statements against interest (Evid. Code 1230) or even a party admission (Evid. Code § 1220).

Even if the statements were inadmissible, the fact that Plaintiff's counsel does not dispute the content of the statements or present any contrary evidence gives the Court pause in not considering them. This is especially true given the apparent lack of communication Plaintiff's counsel has shown with its client.

The Complaint was filed on July 30, 2024, with the FAC filed on December 9, 2024. Mr. Rubio – the named plaintiff and client of Plaintiff's counsel - indicates in a letter submitted by Defendant that approximately four months after filing the complaint communication from Plaintiff's counsel became minimal to nonexistent. (Smith Decl. Ex. 1.) Plaintiff's counsel again objects to the admissibility of this evidence – but does not specifically dispute any facts contained therein.

The lack of communication appears to be confirmed by Plaintiff's counsel's own declaration which indicates that they "learned of Mr. Rubio's settlement shortly before the parties began meeting and conferring regarding amendment of the complaint," which started in November 2025. (Bokhour Decl. ¶ 12.) This is a full eight months after the settlement agreement was executed. There is no explanation as to why Plaintiff's counsel had not had any communication with the sole named plaintiff in this matter for over eight months and more likely close to a year given Mr. Rubio's statements of communication ceasing about 4 months after the complaint was filed.

Plaintiff's counsel argues that the potential issues raised by Defendants – namely adequacy of the named plaintiff – are not properly before the Court at this stage. It is true that there is a later procedure for class certification that addresses issues including adequacy of the representative party

as well as the adequacy of counsel. As noted above, the Court has a duty to the class members to “ensure the action proceeds in the class members’ best interest.” (*Hernandez*, supra, 4 Cal.5th at 566.) This would include making sure that leave to amend would only be granted where there is a likely chance that the amendments would protect the class. Given the above facts and arguments, that is not the case here.

“Plaintiffs seeking class certification have the burden of proving the adequacy of their representation by a member of the putative class.” (*Jones v. Farmers Ins. Exchange* (2013) 221 Cal.App.4th 986, 998.0 “To establish the proposed class representatives are up to this important role, plaintiffs must provide evidence, typically declarations, showing their ‘desire[] to represent the putative class or that they underst[and] the obligation of serving as class representatives.’” (*Imperial County Sheriff’s Assn. v. County of Imperial* (2023) 87 Cal.App.5th 898, 919.)

Here, the Court already has indications that the proposed class representative will not be able to fulfill his duties – given he has already expressed a desire not to be party to this lawsuit and did not authorize his name to be involved. It would not be in the best interests of the class to allow this amendment knowing that class certification could likely be denied for failure to have an adequate representative.

The Court is also concerned with Plaintiff’s counsel’s actions (or inactions) and their ability to prosecute this case properly and to protect the class members. A “primary criterion” for determining whether the class representative and counsel have adequately represented a class is determining whether they have “vigorously and tenaciously protected the interests of the class.” (*Simons v. Horowitz* (1984) 151 Cal.App.3d 834, 846 citation omitted.) The evidence indicates this is not the case.

Despite this case being over two years old Plaintiff’s counsel affirms that it “remains at an early stage,” and “discovery has been minimal...” (Bokhour Decl. ¶ 13.) They also admit that they did not communicate with the named plaintiff for almost a year and did not even know that he had settled his individual claims for over eight months. The ‘minimal discovery’ appears to be a single interrogatory served on Defendant on August 8, 2025. (Smith Decl. in Support mtn to enforce, ¶ 13-14, Ex. B.) In other words, it appears that Plaintiff’s counsel has done nothing to prosecute this matter and has not even been in communication with the only named plaintiff during most of the time this matter has been pending.

“In the class action context, the Court has an obligation to closely scrutinize the qualifications of counsel to assure that all interests, including those of as yet unnamed plaintiffs are adequately represented.” (*Cal Pak Delivery, Inc. v. United Parcel Services, Inc.* (1997) 52 Cal.App.4th 1, 12.) Attempting to amend to name a representative that has already indicated that he does not want to participate does not show that they are adequately representing the interests of the proposed class.

In addition to the above, there is the substantive issue related to the Defendants in the case. Currently, RH Oak is the only defendant as it is the employer of Mr. Rubio – who is the only named representative. Plaintiff’s counsel proposes to remove Mr. Rubio and replace him with Mr. Cedillo who has never worked for RH Oak. To get around this problem, Plaintiff’s counsel puts forth a ‘joint-employer’ theory. This proposed amendment completely changes the basis and scope of the case – as well as the potential class. The proposed amended complaint also fails to properly allege facts sufficient to show joint employment.

“A joint employer liability claim (or joint employment case) involves a person or entity that is alleged to share the legal obligations of another employer **by exercising significant control over** the other

employer's employees." (*Mejia v. Roussos Construction Inc.* (2022) 76 Cal.App.5th 811, 820.) There are no allegations indicating such. Instead, there is a single conclusory allegation that "Defendants were joint employers for all purposes of Plaintiff and all members of the Classes." (§ 14.) This allegation contains no facts to support this contention.

PAGA

Defendant argues that the proposed amended complaint appears to continue the PAGA cause of action based on the fact that the caption and the footer contain reference to PAGA.

"As an initial matter, the allegations in the body of the complaint, not the caption, constitute the cause of actions against the defendant." (*Davaloo v. State Farm Ins. Co.* (2005) 135 Cal.App.4th 409, 418 *citing Falahati v. Kondo* (2005) 127 Cal.App.4th 823, 829) The California Supreme Court long ago held that the "subject matter of an action and the issues involved are determinable from the facts pleaded, rather than from the title or prayer for relief." (*Coffelt v. Coffelt* (1964) 229 Cal.App.2d 659, 665 *quoting Standard Brands of California v. Bryce* (1934) 1 Cal.2d 718, 721.)

It is clear the PAGA cause of action is removed from the proposed amended complaint. Plaintiff's counsel's reply makes clear that the "substantive PAGA cause of action was removed." (Reply at 6:13.)

Summary and Conclusion

Over two years into this matter and Plaintiff's counsel is seeking leave to utterly change the focus and scope of this litigation while having done just about nothing to move it forward to this point. The Court cannot allow this delayed amendment that appears to have minimal change of protecting the putative class members given the issues raised regarding the adequacy of representation.

The Court is mindful, however, that the California Supreme Court has made clear that if a named plaintiff can no longer suitably represent the class, the Court should afford plaintiffs the opportunity to amend the complaint to add new individual plaintiff(s). (*La Sala v. American Sav. & Loan Assn.* (1971) 5 Cal.3d 864, 872.)

Accordingly, the Court **denies Plaintiff's motion without prejudice.**

Plaintiff's counsel will have 90 days from notice of entry of the order on this motion to locate a new representative plaintiff that was employed by Defendant RH Oak during the relevant time to replace Mr. Rubio and seek leave to amend to add that person.

Evidentiary Objections

Objection 1: Overruled

Objection 2: Overruled

Objection 3: Overruled

Objection 4: Overruled

Objection 5: Overruled